BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

COMPANY PETITION CP (CAA) NO. 13 / ALD / 2022

Connected with

COMPANY APPLICATION CA (CAA) NO. 6 /ALD / 2022
(Under Sections 230 & 232 of the Companies Act, 2013)

In the matter of Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT OF:

1. **Agarwal Fin-Lease and Investment Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office at 8th KM, Faizabad Road, Ismail Ganj, Lucknow -226015, Uttar Pradesh and Corporate Identification Number U65910UP2002PTC026637 within the jurisdiction of this Tribunal

….. Petitioner / Transferor Company No. 1

2. **Chinhat Land and Finance Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office at 8th KM, Faizabad Road, Vijaypur, Gomti Nagar, Lucknow -226010, Uttar Pradesh and Corporate Identification Number U65993UP1992PTC014631 within the jurisdiction of this Tribunal

….. Petitioner / Transferor Company No. 2

-Sd-

-Sd-

3. **Enembee Engineers Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office at 8th KM, Faizabad Road, Post Gomti Nagar, Lucknow -226010, Uttar Pradesh and Corporate Identification Number U27109UP1993PTC083265 within the jurisdiction of this Tribunal

….. Petitioner / Transferor Company No. 3

4. **Uma Sales Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office at 8th KM, Faizabad Road, Vijaypur, Gomti Nagar, Lucknow-226010, Uttar Pradesh and Corporate Identification Number U34101UP1988PTC010189 within the jurisdiction of this Tribunal

….. Petitioner / Transferor Company No. 4

5. **Vinamra Fin-Lease and Investment Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office 8th KM, Faizabad Road, Ismail Ganj, Lucknow -226015, Uttar Pradesh and Corporate Identification Number U65910UP2002PTC026638 within the jurisdiction of this Tribunal

….. Petitioner / Transferor Company No. 5

6. **Vibhu Enterprises Private Limited**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office 8th KM, Faizabad Road, Vijaypur, Gomti Nagar, Lucknow -226010, Uttar Pradesh and Corporate Identification Number U65993UP1992PTC014587 within the jurisdiction of this Tribunal

…..Petitioner / Transferor Company No.6 / Demerged Company

-Sd- AND -Sd-

7. **Technical Associates Limited,** a Public Limited Company incorporated under the Companies Act, 1956 having its Registered Office at 8th KM, Faizabad Road, Vijaypur, Gomti Nagar, Lucknow -226010, Uttar Pradesh and Corporate Identification Number U70100UP1988PLC007884 within the jurisdiction of this Tribunal

….. Petitioner / Transferee Company / Resulting Company

ORDER PRONOUNCED ON 05.04.2023

CORAM:

Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

COUNSEL APPEARED THROUGH VIDEO CONFERENCING:

Sh. Shashi Kant Gupta, PCS. : For the Petitioner

Sh. Ajeet Kumar Singh, AOL : For the OL/RD (NR)

Sh. Krishna Agarwal, Sr. SC : For the IT Dept.

Sh. Shivendra Bahadur, CGSC : For the RoC

ORDER

Per: Mr. Praveen Gupta, Hon'ble Member (Judicial)

1. The present Joint Company Petition is filed by the Petitioner Companies above named under Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for sanction of the Composite Scheme of Arrangement for (a) **Amalgamation** of Agarwal Fin-Lease and Investment Private Limited ('Petitioner / Transferor Company No. 1), Chinhat Land and Finance Private Limited ('Petitioner / Transferor Company No. 2), Enembee Engineers Private Limited ('Petitioner /

-Sd-

-Sd-

Transferor Company No. 3), Uma Sales Private Limited ('Petitioner / Transferor Company No. 4), Vinamra Fin-Lease and Investment Private Limited ('Petitioner / Transferor Company No. 5) with Technical Associates Limited ('Petitioner / Transferee Company') and (b) **Demerger** of the 'Investment Business' (the 'Investment Undertaking') of Vibhu Enterprises Private Limited, ('Petitioner / Transferor Company No. 6 / Demerged Company') along with all the estate, assets, liabilities, rights, title, claims, interest and authorities including accretions and appurtenances thereof and vesting the same as a going concern with Technical Associates Limited ('Petitioner / Transferee Company / Resulting Company'). ['Petitioner Transferor Companies' and the 'Petitioner Transferee Company' hereinafter collectively referred to as the 'Petitioner Companies'].

2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows:

(i) The proposed 'Composite Scheme of Arrangement' has previously been approved by the Board of Directors of Petitioner Companies in their respective Board Meetings held on 30th March, 2022.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as on 31st March, 2021 is described in the present Company Petition.

(iii) The rationale of the proposed Composite Scheme of Arrangement is elaborately described in the present Company Petition which may be summarized as under:

-Sd- -Sd-

2.1 The Composite Scheme of Arrangement provides for Amalgamation of Agarwal Fin-Lease and Investment Private Limited, Chinhat Land and Finance Private Limited, Enembee Engineers Private Limited, Uma Sales Private Limited, Vinamra Fin-Lease and Investment Private Limited with Technical Associates Limited and Demerger of Investment Undertaking of Vibhu Enterprises Private Limited and vesting it as a going concern with Technical Associates Limited pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and rules made thereunder. The Scheme would, *inter-alia*, have the following benefits:

(a) **<u>Rationale for Amalgamation</u>** of Agarwal Fin-Lease and Investment Private Limited, Chinhat Land and Finance Private Limited, Enembee Engineers Private Limited , Uma Sales Private Limited, Vinamra Fin-Lease and Investment Private Limited with Technical Associates Limited:-

i) Simplification of corporate structure by reducing the number of legal entities, rationalization of group shareholding pattern and reorganizing the legal entities in the group structure;

ii) Consolidation will facilitate better monitoring and utilization of assets and lead to emergence of a single entity with strong financial capability to optimize benefits available under the law. The consolidated entity with enhanced net worth will be better placed to access low cost fund for its expansion and diversification requirements thereby significantly contributing to future growth and maximizing shareholders' value;

-Sd- -Sd-

iii) Significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the Transferor Companies and the Transferee Company ;

iv) Elimination of duplication in administrative costs and multiple record-keeping, thus resulting in cost savings; and

v) Concentrated effort and focus by the senior management to grow the business by eliminating duplicative communication and burdensome coordination efforts across multiple entities.

(b) **<u>Rationale for Demerger</u>** of 'Investment Undertaking' of Vibhu Enterprises Private Limited and vesting the same as a going concern with Technical Associates Limited:

(i) Vibhu Enterprises Private Limited has been engaged in two distinct business activities categorized as 'Real Estate' and 'Investment Business' with divergent business profile, growth potential, risk- rewards, regulatory and capital requirements and are largely independent of each other. With a primary intention of achieving operational efficiencies and rationalization of group shareholding pattern, it has been decided by the management of Vibhu Enterprises Private Limited to demerge the 'Investment Undertaking' and vest it with Technical Associates Limited.

2.2 In consideration of the above mentioned business rationale and related benefits, this Composite Scheme of Arrangement between Agarwal Fin-Lease and Investment Private Limited, Chinhat Land and Finance

-Sd-

-Sd-

Private Limited, Enembee Engineers Private Limited, Uma Sales Private Limited, Vinamra Fin-Lease and Investment Private Limited, Vibhu Enterprises Private Limited and Technical Associates Limited is propounded in accordance with the terms set out in the Composite Scheme of Arrangement. The Board of Directors of the Petitioner Companies are of the opinion that the proposed Scheme is in the best interests of these Companies, their Shareholders and other Stakeholders.

3. The Petitioners have stated that the accounting treatment proposed in the Composite Scheme of Arrangement is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Petitioner Companies are closely held Companies and their Equity Shares are not listed on any Stock Exchange. Further, the Petitioner Companies are under common management and control.

7. The Petitioner Companies have annexed the Share Exchange Ratio Report dated 28th March, 2022 given by SKA Business Advisory Services Private

-Sd-

-Sd-

Limited, a Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI). As per the said Report, the Petitioner Transferee Company / Resulting Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the Petitioner Transferor Companies No. 1, 2, 3, 4, 5 and 6 whose names are recorded in the Register of Members / Records of Depository as owners on the 'Record Date' to be fixed by the Board of Directors of the 'Petitioner Transferee Company' as under:-

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Companies**
Agarwal Fin-Lease and Investment Private Limited (Petitioner / Transferor Company No. 1)	396 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 1.
Chinhat Land and Finance Private Limited (Petitioner / Transferor Company No. 2)	223 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 2.

-Sd-

-Sd-

Enembee Engineers Private Limited (Petitioner / Transferor Company No. 3)	100 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 3.
Uma Sales Private Limited (Petitioner / Transferor Company No. 4)	272 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 4.
Vinamra Fin-Lease and Investment Private Limited (Petitioner / Transferor Company No. 5)	357 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 5.
Vibhu Enterprises Private Limited (Petitioner / Transferor Company No. 6 / Demerged Company)	254 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 6 / Demerged Company.

No shares shall be issued by the Petitioner Transferee Company in respect of the shares held by the Petitioner Transferor Companies in the Petitioner Transferee Company.

-Sd-

-Sd-

8. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. 6 / ALD / 2022 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders, Secured and the Unsecured Creditors of the Transferor Companies / Demerged Company and the Equity Shareholders of the Transferee Company / Resulting Company and to convene separate meetings of Secured Creditors and Unsecured Creditors of the Transferee Company / Resulting Company. Accordingly, this Tribunal vide its order dated 23rd May, 2022 allowed the above mentioned prayers and directed to convene separate meetings of Secured Creditors and Unsecured Creditors of the Transferee Company / Resulting Company under the supervision Mr. Abhinav Mehrotra, Advocate, Chairman and Mr. Ankit Kumar Singh, Scrutinizer on Saturday, 9th July, 2022 at 12.00 Noon and 3.00 P.M. respectively at the Registered Office of the Petitioner Transferee Company / Resulting Company situated at 8th KM, Faizabad Road, Vijaypur, Gomti Nagar, Lucknow -226010 (U.P.) for the purpose of considering and, if thought fit, approving, the proposed Composite Scheme of Arrangement and dispensed with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Companies / Demerged Company and the Equity Shareholders of the Transferee Company / Resulting Company. This Tribunal further directed to issue notice of the Company Application alongwith Composite Scheme of Arrangement and related documents to the Statutory Authorities, viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income-Tax Department having jurisdiction over the Petitioner Companies.

9. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 23rd May, 2022, passed by this Tribunal in Company Application No. 6 /ALD / 2022, separate meetings of Secured Creditors and Unsecured Creditors of the Transferee Company / Resulting Company were duly convened and held on Saturday, 9th July, 2022 in physical mode at the Registered office of the Transferee Company / Resulting Company as per the following Schedule:

Sl. No.	**Particulars**	**Time**
1.	Secured Creditors of the Transferee Company / Resulting Company.	12:00 Noon
2.	Unsecured Creditors of the Transferee Company / Resulting Company.	3:00 P.M.

The Composite Scheme of Arrangement was considered and approved unanimously in the respective meetings of the Secured Creditors and Unsecured Creditors of the Transferee Company / Resulting Company, without any modifications. The Chairperson appointed for the meetings has filed his Reports on 23rd July, 2022 which are enclosed as Annexure No. 42 with the Petition.

10. Notice of the Company Application along with the Composite Scheme of Arrangement and related documents was also given to the Statutory Authorities viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income-Tax Department having jurisdiction over the Petitioner Companies. The

-Sd-

-Sd-

Petitioner Companies have filed Affidavit of Service of Company Application on 23rd June, 2022.

11. This Tribunal vide its order dated 2nd August, 2022 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Economic Times" (English) and "Aaj" (Hindi) newspapers having wide circulation in Lucknow in which the Registered offices of the Petitioner Companies are situated.

12. In compliance thereof, the Petitioner Companies on 20th September, 2022 filed Affidavit of service and publication, confirming that notices have been duly published in "Economic Times" (English) and "Aaj" (Hindi) newspaper having wide circulation in Lucknow in which the Registered offices of the Petitioner Companies are situated. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region) , Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income -Tax Department having jurisdiction over the Petitioner Companies.

13. In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Uttar Pradesh submitted its Report dated 14th September, 2022 to the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi.

14. In response to the above stated notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed his

-Sd-

-Sd-

Representation Affidavit dated 16th September, 2022 ("RD affidavit") citing observation made in the Report of the Registrar of Companies, Uttar Pradesh which has been dealt with by the Petitioner Companies by Affidavit dated 3rd October, 2022 ("Reply Affidavit"). The observations of the Regional Director and response of the Petitioner Companies are summarized as under:

a. Paragraph No. 10 of RD Affidavit:

That as per para 27 of the report of ROC, Uttar Pradesh dated 14.09.2022, the following observations have been made:-

1. *In preamble of Scheme provides for Amalgamation of Transferor Company No. 1 to 5 with the Transferee / Resulting Company and Demerger of "Investment of business of Transferor Company No. 6 / Demerged Company and vesting the same as the going concern with the Transferee Company / Resulting Company.*

2. *Prosecution under Section 204 of the Companies Act, 2013 (related to Secretarial Audit) has been filed against M/s Technical Associates Limited (Transferee / Resulting Company). Further, the applicants have filed Compounding Application, thereafter, the Directorate vide order dated 03.02.2022 has compounded the offence and this office has forwarded a letter 01.07.2022 to the Panel Advocate at Lucknow for withdrawal of prosecution and information from Advocate is awaited.*

-Sd-

-Sd-

b. Para 5 of the Reply Affidavit filed by the Petitioner Companies:

That with regard to the aforesaid observations made by the Registrar of Companies, Uttar Pradesh in its Report dated 14th September, 2022 forming part of the Report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs , New Delhi in his Representation / Affidavit, our submissions are as under:-

(i) It is a factual statement made by the ROC, as such, does not require any further comments.

(ii) The ROC in its Report stated that the prosecution under Section 204 of the Companies Act, 2013 (relating to Secretarial Audit) filed against Technical Associates Limited (Transferee Company Resulting Company) has been compounded by the Regional Director vide Order dated 3rd February, 2022 and Letter dated 1st July, 2022 for withdrawal of prosecution has been forwarded to Panel Advocate at Lucknow. In view of the above, it may kindly be noted that no prosecution proceedings against the Transferee Company / Resulting Company are pending as the offence has been compounded. The reference of this Hon'ble Court is also drawn to the provisions of Section 441(3) (d) of the Companies Act, 2013 which reads as follows:

441. Compounding of certain offences

(3)(d) <u>Where the compounding of any offence is made after the institution of any prosecution, such compounding shall be brought by the Registrar in writing, to the notice of the court in which the prosecution is pending and on such notice of the compounding of the offence being given, the company or its officer in relation to whom the offence is so compounded shall be discharged.</u>

-Sd-

-Sd-

In view of the above, the purported offence under Section 204 of the Companies Act, 2013 having been compounded and the fact of compounding brought to the notice of the Court by the Registrar, therefore, as per the legal position as stated above, the Company and its Officers stand discharged. More so, the Transferee Company / Resulting Company against which the prosecution had been filed which later on got compounded shall continue to remain in existence, as such, the sanction of the present Composite Scheme of Arrangement is unlikely to have any adverse effect in the matter.

The representative on behalf of RD/OL present during the hearing while agreeing to the reply of the Petitioner Companies conveyed no objection to the proposed Composite Scheme of Arrangement.

15. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted his Report on 1st July, 2022 and in Para 34 thereof it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Companies No. 1 to 5 without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and rules thereunder.

16. As per the Affidavit of Service filed by the Petitioner Companies on 23rd June,2022, Notices of the First Motion Company Application were served upon the Income-Tax Department having jurisdiction over the Petitioner Companies on 7th June, 2022 for filing their Representation / Reply to the First Motion Company Application. Further, as per the Affidavit of Service filed by the Petitioner Companies on 19th September, 2022, Notices of the Second Motion Company Petition were served upon the Income-Tax Department having jurisdiction over the Petitioner Companies on 11th

August, 2022 for filing their representation / Reply to the Second Motion Company Petition. However, there was no representation nor any reply was filed by the Income-Tax Department despite service of both the Motions. Further, in the interest of justice the Tribunal vide order Dt. 12th January, 2023 granted a last opportunity to the Income-Tax Department by directing the Ld. Counsel of the Petitioner Companies to serve a fresh Notice of the Company Petition through the Standing Counsel representing the Income-Tax Department for filing reply on the Second Motion Company Petition within a period of two weeks making it absolutely clear that in case no representation / reply is filed on behalf of the Income-Tax Department, it shall be presumed that the Income-Tax Department has no representation to make on the proposed Composite Scheme of Arrangement and the Tribunal will proceed further in the matter. The Ld. Counsel of the Petitioner Companies filed the Affidavit of Service of fresh Notice of Second Motion Company Petition through the Ld. Standing Counsel of the Income -Tax Department on 21st January, 2023. Since no Representation / Reply was filed by the Income-Tax Department within the stipulated time period despite the last opportunity having been afforded, in terms of the provisions of Section 230 (5) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it was presumed that the Income-Tax Department had no representation to make on the proposed Composite Scheme of Arrangement, accordingly the order was reserved on 10th February, 2023.

17. Subsequent to the reservation of Order on 10th February,2023, at the request of the Income-Tax Department informing that it had filed two reports on 15th February, 2023 and seeks additional time to file the remaining five reports, the matter was re-opened on 17th February,2023 to

-Sd-

-Sd-

facilitate the Income-Tax Department to file the remaining Reports within a period ten days with the liberty to the Petitioner Companies to file reply affidavit ,if any, within a period of one week and 3rd March,2023 was fixed as the date of further hearing. Thereafter on 3rd March, 2023, the Ld. Standing Counsel of the Income -Tax Department submitted that he had filed four more reports in between and sought time to file the remaining one report for which liberty was granted and 15th March, 2023 was fixed as the date of further hearing.

18. The Ld. Counsel of the Income-Tax Department on 15th March, 2023 submitted that all the seven Reports in relation to the Transferor and the Transferee Companies have been filed and taken on record. It was further submitted that except in case of the Transferee Company where some Demand / Assessment proceedings were pending, there were no demand or other proceedings pending against any of the Transferor Companies. It was further submitted that the interest of the revenue should ,however, remain protected and sanction of the Scheme shall in no manner affect the tax treatment / proceedings ,if any, against the Petitioner Companies and this protection should be made explicit in the order sanctioning the Scheme.

19. The Petitioner Companies on 28th February, 2023 filed their Reply Affidavit in response to the Representation / Reports filed by the Income-Tax Department wherein they have made the following submissions:

(i) That as per the Reports / Representation of the Income-Tax Department, there are no Income-Tax dues / Demands in respect of the Petitioner Transferor Companies. Further, in respect of the Petitioner Transferee Company / Resulting Company, there had

-Sd-

-Sd-

been certain Tax Demands as stated in Para No. 7 of the Income-Tax Report. A Statement containing the details of current status of the Income-Tax Demands / Refunds / Proceedings along with the Comments of the Petitioner Transferee Company / Resulting Company is enclosed herewith marked as **Annexure R-2.**

(ii) That it may kindly be noted from the Reports / Representation that the Income-Tax Department has not raised any objection to the sanctioning of the Composite Scheme of Arrangement and there is a concluding general remark seeking protection of interest of revenue while passing of order by this Hon'ble Tribunal which is reproduced hereunder for ease of reference:-

Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue.	***In view of the above, the department may admit following observations / objections to protect the interest of Revenue:-*** ***a. The Income-Tax Department must be permitted to retain its recourse for recovery in respect of any existing or future tax liabilities of the Transferor Company, in respect of the assets sought to be transferred under the proposed scheme, and that this protection must be made explicit by this court in its final order and has to bind all the parties to the Scheme, particularly the Transferor and Transferee Companies. There should be no limitation on the power of the Income-Tax Department for recovery including imposition of penalties etc.***

-Sd-

-Sd-

	b. That without prejudice to the above, the approval of the scheme should in no manner affect the tax treatments of the transactions under the Income Tax Act, 1961 or any other applicable taxing statute nor would sanction of the scheme or the effect thereof serve as a defence for the companies concerned against tax treatment under the aforementioned statutes.

(iii) That it is most respectfully submitted that subsequent to sanction of the Composite Scheme of Arrangement, the net-worth of the Petitioner Transferee Company / Resulting Company shall be enhanced. Further, the Petitioner Transferee Company / Resulting Company will not be dissolved, therefore, sanction of the Composite Scheme of Arrangement will not adversely affect any rights of the Income-Tax Department in any manner, whatsoever.

(iv) That it is clarified and confirmed that the Scheme will not adversely affect the rights of recovery of the Income-Tax Department or enquiry, investigation, scrutiny or other proceedings, if any, being carried out by the Income-Tax Department against any of the Petitioner Companies. The Income-Tax Department is entitled to recover all tax demands or other dues from the Petitioner Companies. Moreso, there are no pending Income-Tax Demands / Proceedings against any of the Petitioner Transferor Companies as confirmed in the respective Reports.

-Sd-

-Sd-

(v) That it is further clarified and confirmed that interest of the Income-Tax Department will not be adversely affected by sanction of the present Composite Scheme of Arrangement. It is pertinent to mention that in terms of the provisions of the Composite Scheme of Arrangement all the liabilities of the Petitioner Transferor Companies No. 1 to 5 and relating to 'Investment Undertaking' of the Petitioner Transferor Company No. 6, including tax liabilities, if any, will be transferred to and vested in the Petitioner Transferee Company / Resulting Company which may be continued and enforced against the Petitioner Transferee Company / Resulting Company which is going to subsist.

(vi) That the Petitioner Companies have no objection if the Hon'ble Tribunal grants specific liberty to the Income-Tax Department to take out appropriate proceedings for recovery of any Income-Tax Dues from the Petitioner Companies or any other person who is liable for payment of such dues while passing an Order.

(vii) That the Petitioner Transferee Company / Resulting Company undertakes to pay any demands / dues that may be raised by the Income-Tax Department or any other competent authority in terms of the applicable provisions of law subsequent to the sanction of the Composite Scheme of Arrangement by this Hon'ble Tribunal.

(viii) That it may further be submitted that the Composite Scheme of Arrangement is subject to the provisions of the Income-Tax Act, 1961 and the Petitioner Companies will comply with the provisions

-Sd-

-Sd-

of the Income-Tax Act, 1961. It is pertinent to mention that this Hon'ble Tribunal may sanction the Scheme, while reserving the right of the Income-Tax Department to take appropriate action, if necessary, for recovery of any tax dues as per the provisions of the Income-Tax Act, 1961.

(ix) That the reliance is placed on the Judgment of *the* ***Hon'ble National Company Law Appellate Tribunal, New Delhi in the matter of Joint Commissioner of Income–Tax (OSD), Circle (3)(3) – 1, Mumbai vs. Reliance Jio Infocomm Ltd.*** in which the Hon'ble Appellate Tribunal dismissed the Appeal of the Income-Tax Department against the Order of the Hon'ble National Company Law Tribunal, New Delhi Bench sanctioning the Scheme of Arrangement while observing as under:-

"Where IT department opposed Composite Scheme of Arrangement of Petitioner Companies on ground that Scheme was a tool to avoid and evade taxes, approval of NCLT to such scheme was not interfered with as IT Department was entitled to take out appropriate proceedings for recovery of any tax statutorily due from the Transferor or Transferee Company or any other person who was liable for payment of such tax due."

20. The Petitioner Companies on 5th January, 2023 also filed an Affidavit confirming that neither the Petitioner Companies nor their Legal Counsel has received any objection / representation from any person against the Company Petition or the proposed Composite Scheme of Arrangement in response to the publication of the notice of hearing of the present Petition in newspapers.

21. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad, Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Income-Tax Department having jurisdiction over the Petitioner Companies and the Reply Affidavits filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Composite Scheme of Arrangement is not against public policy, nor it would be prejudicial to the public interest at large.

22. In addition to above, all the statutory compliances seem to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer Clause.

23. As a result, the proposed Composite Scheme of Arrangement, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the Shareholders, Creditors and other stakeholders of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the 'Appointed Date', i.e., 1st April, 2022. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Composite Scheme of Arrangement.

24. While approving the Composite Scheme of Arrangement as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, as applicable), taxes (including Income-Tax, GST or other charges, if any, as applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any

law. It is further clarified that sanction of the Composite Scheme of Arrangement under Section 230-232 of the Companies Act, 2013 shall not adversely impact the rights of the Income-Tax Department in relation to any past, present and future tax proceedings against any of the Petitioner Companies and the Income-Tax Department shall be at liberty to take appropriate action as per law.

THIS TRIBUNAL DO FURTHER ORDER:

25. <u>With respect to Amalgamation of the Transferor Companies No. 1 to 5 with the Transferee Company</u>:

i. Upon the Scheme becoming effective, all the property, rights and powers of the Transferor Companies No. 1 to 5 specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Transferor Companies No. 1 to 5 be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies No. 1 to 5 therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Transferor Companies No. 1 to 5 be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Transferor Companies No. 1 to 5, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company as provided in the Composite Scheme of Arrangement; and

iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Transferor Companies No. 1 to 5 be continued by or against the Transferee Company; and

v. Upon the Scheme finally coming into effect and in consideration of the transfer and vesting of all the said assets and liabilities of the Transferor Companies No. 1 to 5 to the Transferee Company in terms of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Shares to the Shareholders of the Transferor Companies No. 1 to 5 in the following manner as provided in the Composite Scheme of Arrangement:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Companies**
Agarwal Fin-Lease and Investment Private Limited (Petitioner / Transferor Company No. 1)	396 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 1.

-Sd-

-Sd-

Chinhat Land and Finance Private Limited (Petitioner / Transferor Company No. 2)	223 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 2.
Enembee Engineers Private Limited (Petitioner / Transferor Company No. 3)	100 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 3.
Uma Sales Private Limited (Petitioner / Transferor Company No. 4)	272 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 4.
Vinamra Fin-Lease and Investment Private Limited (Petitioner / Transferor Company No. 5)	357 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 5.

-Sd- -Sd-

26. **<u>With respect to Demerger of 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company and vesting the same into the Transferee Company / Resulting Company:</u>**

i. Upon the Scheme becoming effective, all the property, rights and powers pertaining to the 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company specified in the first, second and third parts of the Schedule hereto be transferred, without any further act or deed, to the Transferee Company / Resulting Company and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company / Resulting Company for all the estate and interest of the 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties pertaining to the 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company be transferred, without further act or deed, to the Transferee Company / Resulting Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company / Resulting Company; and

iii. Upon the Scheme becoming effective, all the employees of the 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company / Resulting Company as provided in the Composite Scheme of Arrangement;

iv. ASSESSMENT AND OTHER INCOME TAX PROCEEDINGS AGAINST THE DEMERGED COMPANY

a. All tax assessment proceedings and appeals of what so ever nature by or against the Demerged Company pending or arising as on the Effective Date shall be continued and or enforced by or against the Demerged Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Further, the aforementioned proceedings shall never abate or discontinued nor be in any way prejudicially affected by reason of the Scheme of Arrangement of the Demerged Company with the Resulting Companies or anything contained in this Scheme.

b. All taxes (including, without limitation, income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty, service tax, value added tax, goods and services tax etc.) paid or payable by the Demerged Company in respect of the operations and / or the profits of the Demerged Company before the Appointed Date, shall be on account of the Demerged Company and, in so far as it relates to the tax payment (including, without limitation, income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty, service tax, value added tax, goods and service tax etc.) whether by way of deduction at source, advances tax or otherwise howsoever, by the Resulting Company in respect of the profits or activities or operation of the Resulting Company with effect from the Appointed Date, the same shall be deemed to be the corresponding tax/duty paid by the Demerged Company, and, shall in all proceedings, be dealt with accordingly.

-Sd-

-Sd-

v. Upon the Scheme finally coming into effect and after giving effect to allotment of shares pursuant to amalgamation of the Transferor Companies No. 1 to 5 with the Transferee Company and in consideration of de-merger and vesting of the 'Demerged Undertaking' of the Transferor Company No. 6 / Demerged Company into the Transferee Company / Resulting Company, in terms of this Scheme, the Transferee Company / Resulting Company, shall, without any further application or deed, issue and allot Equity Shares, to the Equity Shareholders of the Transferor Company No. 6 / Demerged company in the following manner as provided in the Composite Scheme of Arrangement:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Company**
Vibhu Enterprises Private Limited (Petitioner / Transferor Company No. 6 / Demerged Company)	254 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company / Resulting Company for every 100 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. 6 / Demerged Company.

27. The Petitioner Companies shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh, for registration and on such certified copy being so delivered, the Transferor Companies No. 1 to 5 shall stand dissolved without undergoing the process of winding up and the Registrar of Companies, Uttar Pradesh shall place all documents relating

-Sd-

-Sd-

to the Transferor Companies No. 1 to 5 with him on the file kept by him in relation to the Transferee Company and the files relating to the said five Petitioner Transferor Companies shall be consolidated accordingly.

28. The Petitioner Companies shall supply legible print outs of the Composite Scheme of Arrangement and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

29. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

30. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Composite Scheme of Arrangement duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

31. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

32. Accordingly, the present Company Petition bearing CP (CAA) No. 13 / ALD / 2022 is allowed and stands disposed of.

-Sd-

(ASHISH VERMA)
Member (Technical)

-Sd-

(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)